

Offshoring or reshoring?

Before the Covid-19 pandemic it was widely accepted that offshoring a company's manufacturing capacity to another country or multiple countries where labour and resources are cheaper plus each unit can specialize in just one thing, is better than doing the whole process at the origin country. Thanks to modern supply chains this system worked quite well and provided the customers with cheap and plentiful products and the manufacturer with maximum profits. However any disruption in the supply chain network could cause huge interruptions and delays just as we saw during the pandemic (Paul et al., 2021). Nowadays many companies rethink their policies and try to bring back home their manufacturing capacities so they can benefit from small-world networks, higher clustering and shorter path lengths in production.

Previous studies suggest that companies choose the location of their manufacturing capacities based on supply-chain related risks and pure labor cost arbitrage (Ellram et al., 2013), but the factors vary widely depending on the region. Furthermore, another study argues that since the early 2010s many firms have started to consider reshoring because of supply-chain disruptions and stricter country-level trade policies (Tate et al., 2014). On the other hand a 2017 paper by Chen and Hu emphasizes that despite the advantages from small-world networks, reshoring is not always worth it, especially when a company has high OSD (offshore supply dependence) and thus unable to react properly to demand updates.

In the past five years supply chains changed drastically and trade policies have changed even more. So in my opinion it would be interesting to see how companies' approach to reshoring has changed since 2020. My key questions are:

1. Do companies on average still benefit from offshoring?
2. Is it worth to reshore their capacities?

Mainly well-established, huge multinational companies (primarily from manufacturing industries), their managers and owners would benefit from this research, because only these have the necessary means to offshore or reshore their units. The biggest beneficiaries would probably be the relatively new successful multinational companies that have not yet set foot in many countries and considering doing so or not doing so.

References:

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